

Particulars	Figure in NPR		
	Base Case	Bull Case	Bear Case
Residual Income (a)	490.47	509.00	435.85
Book Value (b)	210.07	210.07	210.07
Intrinsic Value (a+b)	700.55	719.07	645.92

Particulars	Weightage	Value
Earnings times industry PE ratio	25%	503.03
Book Value times industry PB ratio	25%	281.24
Intrinsic Value	50%	700.55
Valuation		546.34

Relative Valuation			
TTM EPS (a)	37.10	Book value (as on Q2) (a)	205.58
Industrial average		Industrial average	
PE ratio (b)	13.56	PB ratio (b)	1.37
Relative Valuation (a*b)	503.03	Relative Valuation (a*b)	281.24

BFI Name	TTM EPS	No. of Shares	Price Oct 17	PE Ratio	BVPS	PB ratio
GBIME	20.38	357710600	202	9.91	168.2954768	1.200269929
NMB	18.89	183667060	208.5	11.04	159.685384	1.305692449
HBL	17.5	216566156.3	200.9	11.48	170.274134	1.179862116
SANIMA	20.5	124601150.6	235.9	11.51	158.8116394	1.485407498
PRVU	13.4	235424900	156.9	11.71	147.8197761	1.061427667
CZBL	14.9	142009740.1	177	11.88	143.7690655	1.231141062
NBL	20.07	146940229.3	248	12.36	248.4646935	0.99812974
MBL	16.71	116213572.7	207	12.39	142.7722549	1.44986153
SBL	19.41	140899801.9	243.1	12.52	177.6594623	1.36834817
NIMB	13.71	341285950	175	12.76	173.3711394	1.009395224
LSL	13.23	216702380	181	13.68	171.2989216	1.056632455
SCB	37.56	94294540	516.2	13.74	221.9860556	2.325371288
PCBL	13.09	194025757.2	180	13.75	152.0584131	1.183755613
SBI	20.69	101206287.1	303	14.64	182.6882952	1.658562743
EBL	30.96	106880940	459	14.83	242.3405609	1.894028793
NICA	26.18	149175669.2	517.2	19.76	202.0456284	2.559817819
ADBL	12.37	134516740.8	251	20.29	176.0581974	1.425664943
NABIL	27.44	270569970	572.1	20.85	218.2699543	2.621066201
KBL	4.65	262258613.4	155.7	33.48	141.3293213	1.101682217

14.873

1.480

Amount in million

Year	Base Case		Bull Case		Bear Case	
	SCB's Market Share	Amount	SCB's Market Share	Amount	Market Share	Amount
2080/81	1.58%	81,429	1.60%	82,823	1.57%	80,913
2081/82	1.59%	89,188	1.62%	91,267	1.56%	87,502
2082/83	1.60%	98,426	1.65%	101,938	1.57%	96,577
2083/84	1.61%	109,718	1.68%	114,975	1.58%	107,671
2084/85	1.62%	123,738	1.71%	131,160	1.59%	121,443
2085/86	1.63%	138,269	1.74%	148,210	1.60%	135,720
2086/87	1.64%	155,625	1.77%	168,647	1.60%	151,823
2087/88	1.65%	176,421	1.79%	192,164	1.60%	171,066
2088/89	1.66%	201,423	1.81%	220,504	1.60%	194,130
2089/90	1.67%	224,785	1.83%	247,299	1.60%	215,347
2090/91	1.68%	249,509	1.85%	275,839	1.60%	237,609
2091/92	1.69%	278,948	1.85%	306,557	1.60%	264,069
2092/93	1.70%	314,091	1.85%	343,144	1.60%	295,586
2093/94	1.70%	344,051	1.85%	375,876	1.60%	323,781
2094/95	1.70%	378,832	1.85%	413,874	1.60%	356,513
2095/96	1.70%	413,993	1.85%	452,287	1.60%	389,602
2096/97	1.70%	454,750	1.85%	496,814	1.60%	427,957
2097/98	1.70%	502,080	1.85%	548,522	1.60%	472,499
2098/99	1.70%	557,165	1.85%	608,702	1.60%	524,338
2099/00	1.70%	621,432	1.85%	678,914	1.60%	584,819

Sensitivity Analysis

		Inflation rate						
		7.48%	6.98%	6.48%	5.98%	5.48%	4.98%	4.48%
Market Share on lending	1.34%	525	548	573	600	630	663	698
	1.46%	550	576	603	634	667	703	743
	1.58%	575	603	634	667	704	743	787
	1.70%	601	631	664	701	740	784	831
	1.85%	632	666	702	742	786	834	887
	2.00%	664	700	740	784	832	885	942
	2.15%	695	735	778	826	878	935	998

Residual Income Model

Opening Book			Dividend			Cost of			Discount	Present Value of
Year	value	Projected Income	Payout	Dividend Payout	Ending Book value	Equity(%)	Cost of Equity (Rs)	Residual Income	Factor	Residual Income
2080-81	19,808,836,101	2,938,708,021	20%	587,741,604	22,159,802,518	11.72%	2,321,697,130	617,010,891	0.9436	582,195,594
2081-82	22,159,802,518	3,167,801,399	20%	633,560,280	24,694,043,637	11.72%	2,597,242,445	570,558,953	0.8903	507,987,113
2082-83	24,694,043,637	3,486,903,629	20%	697,380,726	27,483,566,540	11.72%	2,894,268,495	592,635,135	0.8401	497,869,647
2083-84	27,483,566,540	3,873,706,960	20%	774,741,392	30,582,532,108	11.72%	3,221,214,878	652,492,082	0.7927	517,225,091
2084-85	30,582,532,108	4,351,573,969	20%	870,314,794	34,063,791,283	11.72%	3,584,429,528	767,144,442	0.7480	573,796,066
2085-86	34,063,791,283	4,900,897,076	25%	1,225,224,269	37,739,464,090	11.72%	3,992,450,948	908,446,129	0.7058	641,144,155
2086-87	37,739,464,090	5,542,047,873	25%	1,385,511,968	41,895,999,995	11.72%	4,423,258,642	1,118,789,231	0.6659	745,042,198
2087-88	41,895,999,995	6,312,014,740	25%	1,578,003,685	46,630,011,050	11.72%	4,910,425,956	1,401,588,784	0.6284	880,702,627
2088-89	46,630,011,050	7,240,135,310	25%	1,810,033,827	52,060,112,532	11.72%	5,465,276,318	1,774,858,991	0.5929	1,052,321,924
2089-90	52,060,112,532	8,160,996,853	25%	2,040,249,213	58,180,860,172	11.72%	6,101,712,046	2,059,284,807	0.5594	1,152,065,745
2090-91	58,180,860,172	9,075,201,425	40%	3,630,080,570	63,625,981,027	11.72%	6,819,095,044	2,256,106,381	0.5279	1,190,958,167
2091-92	63,625,981,027	10,121,310,599	40%	4,048,524,240	69,698,767,386	11.72%	7,457,291,120	2,664,019,479	0.4981	1,326,937,336
2092-93	69,698,767,386	11,369,059,053	40%	4,547,623,621	76,520,202,819	11.72%	8,169,052,810	3,200,006,243	0.4700	1,503,972,614
2093-94	76,520,202,819	12,570,582,890	40%	5,028,233,156	84,062,552,553	11.72%	8,968,560,009	3,602,022,881	0.4435	1,597,392,550
2094-95	84,062,552,553	13,816,794,609	40%	5,526,717,844	92,352,629,318	11.72%	9,852,562,060	3,964,232,549	0.4184	1,658,824,326
2095-96	92,352,629,318	15,138,253,057	55%	8,326,039,182	99,164,843,194	11.72%	10,824,201,551	4,314,051,506	0.3948	1,703,345,247
2096-97	99,164,843,194	16,599,300,643	55%	9,129,615,353	106,634,528,483	11.72%	11,622,627,936	4,976,672,706	0.3726	1,854,097,302
2097-98	106,634,528,483	18,294,972,396	55%	10,062,234,818	114,867,266,061	11.72%	12,498,113,342	5,796,859,054	0.3515	2,037,803,331
2098-99	114,867,266,061	20,267,037,714	55%	11,146,870,743	123,987,433,032	11.72%	13,463,032,386	6,804,005,328	0.3317	2,256,889,295
2099-00	123,987,433,032	22,565,973,295	55%	12,411,285,312	134,142,121,015	11.72%	14,531,962,705	8,034,010,591	0.3130	2,514,514,222
							Terminal Year Value			68,546,580,411
							PV of terminal Value			21,453,961,178
							Sum of PV of residual income			46,249,045,729
							Actual Book value on 2079/80			19,808,836,101
							Number of shares			94,294,540
							Value of equity			701

Residual Income Model

Year	Opening BV	Projected Income	Dividend Payout Ratio	Dividend Payout	Ending BV	Cost of Equity(%)	Cost of Equity (Rs)	Residual Income	Discount Factor	Present Value of Residual Income
2079-80	18,135,102,385	3,465,329,976	51.70%	1,791,596,260	19,808,836,101	11.72%			1.000	-
2080-81	19,808,836,101	2,971,248,271	18.00%	534,824,689	22,245,259,683	11.72%	2,321,697,130	649,551,141	0.944	612,899,737
2081-82	22,245,259,683	3,234,919,606	18.00%	582,285,529	24,897,893,761	11.72%	2,607,258,463	627,661,143	0.890	558,827,041
2082-83	24,897,893,761	3,596,617,816	18.00%	647,391,207	27,847,120,370	11.72%	2,918,160,774	678,457,042	0.840	569,968,178
2083-84	27,847,120,370	4,043,243,179	18.00%	727,783,772	31,162,579,777	11.72%	3,263,825,250	779,417,929	0.793	617,838,164
2084-85	31,162,579,777	4,594,907,438	18.00%	827,083,339	34,930,403,876	11.72%	3,652,414,088	942,493,350	0.748	704,950,656
2085-86	34,930,403,876	5,208,752,130	22.00%	1,145,925,469	38,993,230,537	11.72%	4,094,022,386	1,114,729,745	0.706	786,730,702
2086-87	38,993,230,537	5,913,191,828	22.00%	1,300,902,202	43,605,520,163	11.72%	4,570,206,496	1,342,985,332	0.666	894,342,487
2087-88	43,605,520,163	6,734,673,317	22.00%	1,481,628,130	48,858,565,350	11.72%	5,110,790,483	1,623,882,834	0.628	1,020,383,364
2088-89	48,858,565,350	7,709,821,133	22.00%	1,696,160,649	54,872,225,834	11.72%	5,726,474,306	1,983,346,827	0.593	1,175,935,305
2089-90	54,872,225,834	8,713,233,209	22.00%	1,916,911,306	61,668,547,737	11.72%	6,431,306,140	2,281,927,068	0.559	1,276,622,835
2090-91	61,668,547,737	9,736,763,692	35.00%	3,407,867,292	67,997,444,136	11.72%	7,227,869,905	2,508,893,787	0.528	1,324,400,113
2091-92	67,997,444,136	10,834,397,218	35.00%	3,792,039,026	75,039,802,328	11.72%	7,969,649,004	2,864,748,213	0.498	1,426,919,507
2092-93	75,039,802,328	12,098,094,226	35.00%	4,234,332,979	82,903,563,575	11.72%	8,795,049,483	3,303,044,743	0.470	1,552,399,733
2093-94	82,903,563,575	13,350,038,496	35.00%	4,672,513,474	91,581,088,598	11.72%	9,716,722,611	3,633,315,886	0.443	1,611,270,089
2094-95	91,581,088,598	14,673,523,220	35.00%	5,135,733,127	101,118,878,691	11.72%	10,733,773,024	3,939,750,196	0.418	1,648,579,739
2095-96	101,118,878,691	16,076,920,446	55.00%	8,842,306,245	108,353,492,892	11.72%	11,851,650,913	4,225,269,533	0.395	1,668,290,879
2096-97	108,353,492,892	17,628,562,218	55.00%	9,695,709,220	116,286,345,890	11.72%	12,699,584,782	4,928,977,436	0.373	1,836,328,066
2097-98	116,286,345,890	19,429,376,339	55.00%	10,686,156,987	125,029,565,242	11.72%	13,629,355,816	5,800,020,523	0.352	2,038,914,700
2098-99	125,029,565,242	21,523,722,174	55.00%	11,838,047,196	134,715,240,221	11.72%	14,654,105,942	6,869,616,232	0.332	2,278,652,439
2099-00	134,715,240,221	23,965,206,295	55.00%	13,180,863,462	145,499,583,053	11.72%	15,789,316,697	8,175,889,597	0.313	2,558,920,036

Terminal Year Value	69,757,099,195
PV of terminal Value	21,832,833,805
Sum of PV of residual income	47,996,007,575
Actual Book value on 2079/80	19,808,836,101
Number of shares	94,294,540
Value of equity	719

Amount in Million
In million

	In million	Base Case										
	Private sector lending of Industry	Market Share	Private sector lending of SCB	Net interest income	Net fees and commission income	Net interest and fees and commission income	Total Operating Income	Less: Impairment charges	Related Operating expenses	Total operating profit	Non-operating income/ expenses	Net profit after tax
Year	Industry											
2079/80	4,903,348.81	1.59%	77,831.30	5,956.03	1,283.93	7,239.96	7,842.55			4,971.71	-	3,465.33
2080/81	5,162,540.81	1.58%	81,429.23	4,670.07	1,089.68	5,759.75	6,620.48	68.72	2,342.03	4,209.73	(11.57)	2,938.71
2081/82	5,618,798.24	1.59%	89,187.70	5,115.03	1,193.50	6,308.54	7,251.27	148.19	2,565.18	4,537.91	(12.48)	3,167.80
2082/83	6,161,957.63	1.60%	98,425.51	5,644.83	1,317.12	6,961.96	8,002.34	176.44	2,830.87	4,995.02	(13.73)	3,486.90
2083/84	6,826,219.02	1.61%	109,718.44	6,292.50	1,468.24	7,760.74	8,920.49	215.69	3,155.68	5,549.12	(15.25)	3,873.71
2084/85	7,650,880.86	1.62%	123,738.39	7,096.56	1,655.86	8,752.42	10,060.36	267.78	3,558.91	6,233.67	(17.14)	4,351.57
2085/86	8,496,790.10	1.63%	138,269.04	7,929.91	1,850.31	9,780.22	11,241.76	277.54	3,976.84	6,987.38	(19.21)	4,877.72
2086/87	9,504,953.22	1.64%	155,625.47	8,925.33	2,082.57	11,007.90	12,652.89	331.51	4,476.03	7,845.35	(21.57)	5,476.65
2087/88	10,709,618.82	1.65%	176,420.53	10,117.95	2,360.85	12,478.80	14,343.60	397.19	5,074.13	8,872.29	(24.39)	6,193.53
2088/89	12,153,590.48	1.66%	201,422.56	11,551.85	2,695.42	14,247.27	16,376.36	477.54	5,793.23	10,105.59	(27.78)	7,054.47
2089/90	13,481,887.70	1.67%	224,784.74	12,891.71	3,008.05	15,899.76	18,275.78	446.22	6,465.16	11,364.40	(31.24)	7,933.21
2090/91	14,875,570.11	1.68%	249,509.29	14,309.69	3,338.91	17,648.61	20,285.98	472.24	7,176.28	12,637.46	(34.74)	8,821.90
2091/92	16,532,137.77	1.69%	278,948.27	15,998.06	3,732.86	19,730.92	22,679.47	562.28	8,022.99	14,094.19	(38.75)	9,838.81
2092/93	18,505,228.97	1.70%	314,090.94	18,013.53	4,203.14	22,216.68	25,536.69	671.23	9,033.75	15,831.71	(43.52)	11,051.73
2093/94	20,270,391.47	1.70%	344,051.20	19,731.80	4,604.07	24,335.86	27,972.56	572.24	9,895.45	17,504.87	(48.12)	12,219.72
2094/95	22,319,573.38	1.70%	378,832.16	21,726.53	5,069.50	26,796.03	30,800.38	664.32	10,895.81	19,240.25	(52.89)	13,431.15
2095/96	24,391,143.67	1.70%	413,993.11	23,743.06	5,540.02	29,283.08	33,659.08	671.57	11,907.09	21,080.42	(57.95)	14,715.73
2096/97	26,792,381.64	1.70%	454,749.54	26,080.49	6,085.42	32,165.92	36,972.72	778.45	13,079.31	23,114.96	(63.54)	16,135.99
2097/98	29,580,937.73	1.70%	502,079.95	28,794.96	6,718.80	35,513.75	40,820.85	904.01	14,440.61	25,476.23	(70.04)	17,784.34
2098/99	32,826,358.53	1.70%	557,164.78	31,954.14	7,455.94	39,410.08	45,299.44	1,052.12	16,024.94	28,222.38	(77.59)	19,701.36
2099/00	36,612,757.90	1.70%	621,431.68	35,639.94	8,315.95	43,955.89	50,524.56	1,227.50	17,873.35	31,423.71	(86.39)	21,936.13

High Case										
Market Share	Private sector lending of SCB	Net interest income	Net fees and commission income	Net interest and fees and commission income	Total Operating Income	Less: Impairment charges	Related Operating expenses	Total operating profit	Non-operating income/ expenses	Net profit after tax
1.59%	77,831.30									
1.60%	82,823.11	4,750.02	1,108.33	5,858.35	6,733.81	95.34	2,382.12	4,256.34	(11.70)	2,971.25
1.62%	91,266.65	5,234.26	1,221.32	6,455.59	7,420.30	161.27	2,624.97	4,634.05	(12.74)	3,234.92
1.65%	101,937.83	5,846.27	1,364.12	7,210.39	8,287.90	203.82	2,931.89	5,152.19	(14.16)	3,596.62
1.68%	114,974.63	6,593.95	1,538.58	8,132.53	9,347.84	249.00	3,306.85	5,791.98	(15.92)	4,043.24
1.71%	131,159.75	7,522.19	1,755.17	9,277.36	10,663.75	309.14	3,772.36	6,582.25	(18.10)	4,594.91
1.74%	148,210.28	8,500.06	1,983.34	10,483.40	12,050.01	325.67	4,262.76	7,461.59	(20.51)	5,208.75
1.77%	168,647.25	9,672.14	2,256.82	11,928.97	13,711.61	390.35	4,850.56	8,470.70	(23.29)	5,913.19
1.79%	192,163.67	11,020.84	2,571.52	13,592.36	15,623.58	449.16	5,526.93	9,647.48	(26.52)	6,734.67
1.81%	220,503.70	12,646.18	2,950.76	15,596.95	17,927.72	541.29	6,342.03	11,044.39	(30.36)	7,709.82
1.83%	247,299.50	14,182.96	3,309.34	17,492.30	20,106.31	511.80	7,112.72	12,481.79	(34.31)	8,713.23
1.85%	275,839.05	15,819.74	3,691.26	19,511.00	22,426.68	545.11	7,933.57	13,948.01	(38.34)	9,736.76
1.85%	306,556.94	17,581.45	4,102.32	21,683.77	24,924.15	586.71	8,817.06	15,520.38	(42.67)	10,834.40
1.85%	343,144.15	19,679.77	4,591.93	24,271.70	27,898.82	698.82	9,869.37	17,330.63	(47.64)	12,098.09
1.85%	375,875.72	21,556.97	5,029.94	26,586.91	30,560.01	625.17	10,810.78	19,124.06	(52.57)	13,350.04
1.85%	413,873.89	23,736.22	5,538.43	29,274.65	33,649.39	725.76	11,903.66	21,019.96	(57.79)	14,673.52
1.85%	452,287.20	25,939.27	6,052.47	31,991.75	36,772.53	733.69	13,008.49	23,030.34	(63.31)	16,076.92
1.85%	496,813.58	28,492.92	6,648.32	35,141.24	40,392.68	850.45	14,289.14	25,253.08	(69.42)	17,628.56
1.85%	548,522.03	31,458.47	7,340.28	38,798.75	44,596.76	987.63	15,776.36	27,832.77	(76.51)	19,429.38
1.85%	608,702.16	34,909.88	8,145.61	43,055.49	49,489.61	1,149.44	17,507.23	30,832.94	(84.76)	21,523.72
1.85%	678,913.71	38,936.61	9,085.17	48,021.78	55,198.05	1,341.04	19,526.63	34,330.39	(94.38)	23,965.21

Low Case										
Market Share	Private sector lending of SCB	Net interest income	Net fees and commission income	Net interest and fees and commission income	Total Operating Income	Less: Impairment charges	Related Operating expenses	Total operating profit	Non-operating income/ expenses	Net profit after tax
1.59%	77,831.30									
1.57%	80,912.97	4,640.47	1,082.77	5,723.24	6,578.51	58.86	2,327.18	4,192.46	(11.53)	2,926.66
1.56%	87,502.06	5,018.36	1,170.95	6,189.31	7,114.22	125.85	2,516.70	4,471.67	(12.29)	3,121.57
1.57%	96,576.92	5,538.82	1,292.39	6,831.20	7,852.04	173.33	2,777.70	4,901.01	(13.47)	3,421.27
1.58%	107,670.58	6,175.05	1,440.84	7,615.89	8,753.99	211.89	3,096.78	5,445.33	(14.97)	3,801.25
1.59%	121,443.13	6,964.93	1,625.14	8,590.07	9,873.75	263.06	3,492.90	6,117.80	(16.82)	4,270.69
1.60%	135,720.00	7,783.72	1,816.19	9,599.92	11,034.51	272.69	3,903.52	6,858.30	(18.85)	4,787.61
1.60%	151,823.48	8,707.28	2,031.69	10,738.97	12,343.78	307.58	4,366.68	7,669.52	(21.08)	5,353.91
1.60%	171,065.72	9,810.85	2,289.19	12,100.04	13,908.24	367.53	4,920.12	8,620.59	(23.70)	6,017.83
1.60%	194,130.41	11,133.64	2,597.84	13,731.48	15,783.48	440.54	5,583.50	9,759.45	(26.83)	6,812.83
1.60%	215,347.42	12,350.46	2,881.76	15,232.23	17,508.50	405.24	6,193.73	10,909.52	(29.99)	7,615.67
1.60%	237,608.84	13,627.18	3,179.66	16,806.85	19,318.43	425.19	6,834.00	12,059.23	(33.15)	8,418.26
1.60%	264,069.34	15,144.73	3,533.76	18,678.49	21,469.76	505.40	7,595.05	13,369.31	(36.75)	9,332.79
1.60%	295,585.71	16,952.24	3,955.51	20,907.74	24,032.15	601.96	8,501.51	14,928.68	(41.04)	10,421.35
1.60%	323,780.81	18,569.26	4,332.81	22,902.07	26,324.51	538.53	9,312.45	16,473.54	(45.29)	11,499.78
1.60%	356,512.58	20,446.47	4,770.82	25,217.30	28,985.72	625.18	10,253.86	18,106.68	(49.78)	12,639.83
1.60%	389,601.96	22,344.19	5,213.62	27,557.82	31,676.00	632.01	11,205.57	19,838.43	(54.54)	13,848.72
1.60%	427,957.16	24,543.91	5,726.89	30,270.80	34,794.41	732.58	12,308.72	21,753.10	(59.80)	15,185.31
1.60%	472,499.02	27,098.45	6,322.95	33,421.40	38,415.82	850.75	13,589.82	23,975.25	(65.91)	16,736.54
1.60%	524,338.42	30,071.51	7,016.66	37,088.17	42,630.54	990.13	15,080.80	26,559.61	(73.01)	18,540.62
1.60%	584,818.92	33,540.15	7,826.00	41,366.15	47,547.82	1,155.18	16,820.31	29,572.33	(81.30)	20,643.72